

OFFERING SUMMARY

Revised 10.17.2025

28 Units
Buena Park



Investor Copy



The Knott Townhomes

7051 9th St., Buena Park CA 90621

Investor Disclosures

Firm Overview

VisionWise Capital ("Firm") specializes in buying, operating, and selling real estate investments, providing due diligence, and managing investment portfolios.

Investment Philosophy and Strategy

Our approach to real estate placements involves thorough research and due diligence. We seek opportunities that align with our core values and investment goals, focusing on properties that demonstrate strong growth potential and sustainable value creation.

Nature of Real Estate Investments

Real estate investments involve acquiring ownership stakes in real property. These investments are typically illiquid, meaning they cannot be easily sold or exchanged. Investors should be prepared to hold these investments for an extended period, often several years. Real estate investments may include residential, commercial, or industrial properties.

Risks Associated with Real Estate

Investing in real estate involves significant risks, including but not limited to:

- Illiquidity: Investments cannot be easily sold or transferred.
- Market Risks: Economic conditions can affect the performance of real estate markets.
- Management Risks: The success of real estate investments depends on the management and operation of the properties.
- Valuation Risks: Determining the value of real estate can be subjective and may not reflect actual market conditions.
- Regulatory Risks: Changes in laws and regulations can impact the performance and strategy of investments.
- Property-Specific Risks: Issues such as property damage, maintenance costs, and tenant vacancies can affect returns.

Conflicts of Interest

The Firm is committed to acting in the best interest of our investors.

However, potential conflicts of interest may arise, including:

- Compensation Structures: Different compensation structures for different investments may influence recommendations.
- Affiliated Entities: The Firm may have relationships with entities involved in the investments we recommend.

We disclose all potential conflicts of interest and take steps to mitigate their impact on our clients.

Investor Suitability and Due Diligence

VWC conducts thorough due diligence on all real estate opportunities and assess the suitability of each investment for our clients. This includes evaluating the location, financial health, management team, and market potential of the properties. Each investor is expected to be an Accredited Investor in accordance with SEC regulations and is responsible for understanding the associated risks.

Investor Responsibilities

Investors are responsible for understanding the risks associated with real estate investments and ensuring that such investments align with their financial goals and risk tolerance. We encourage clients to review all documentation and seek independent tax and financial advice if necessary.

Regulatory Compliance

The Firm complies with all applicable laws and regulations governing real estate placements. We maintain records of all transactions and provide regular reports to clients.

Contact Information

For further information or any questions regarding this disclosure, please contact:

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Performance Overview:

Projected Deal Level IRR: 21%

Purchase Price: \$9.8 MM

Investment Minimum: \$100,000

Projected Hold Period: 24-30 Months

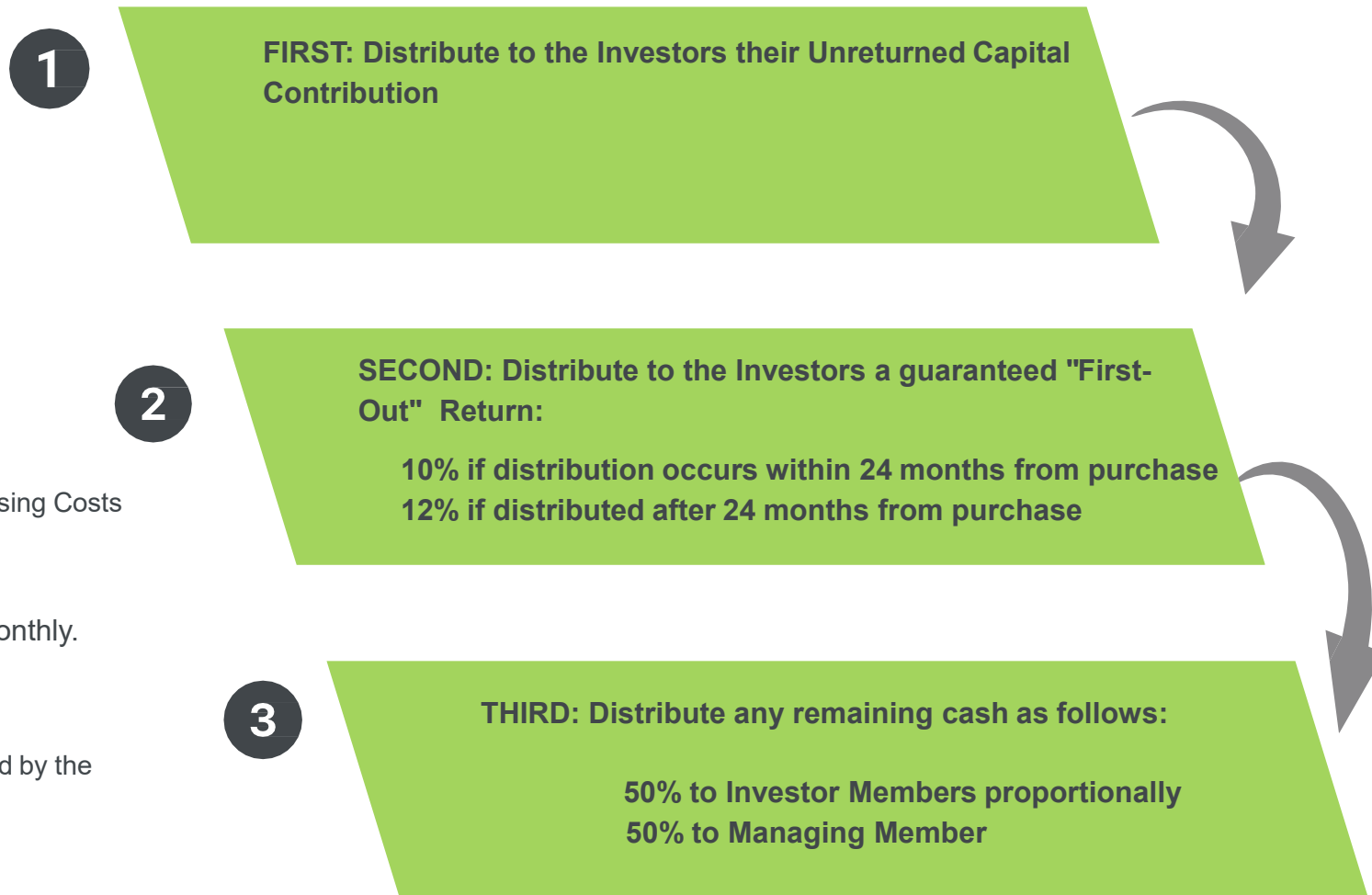
Deal Level Equity Multiple: 1.43x

VisionWise Capital invites you to consider a direct ownership opportunity in The Knott Townhouses—a well-maintained, 28-unit multifamily community in the heart of Buena Park, CA. Built in 1972, this property already delivers consistent in-place cash flow, with additional upside from targeted renovations—including the creation of 14 private backyards to enhance rental value. Properties of this caliber rarely become available. The last sale occurred six years ago, and current market conditions—including forecasts for declining interest rates and favorable capitalization trends—make this an attractive entry point for investors seeking durable income and long-term growth.

The property benefits from its prime location near the 91 and 5 freeways, providing exceptional access to all of Orange County. The location's walkability to schools and shopping centers further enhances tenant appeal. Located less than a mile from Knott's Berry Farm, Knotts Soak City and the Buena Park Entertainment Zone provides additional appeal to local residents.

VisionWise Capital has successfully completed over \$200 million in apartment acquisitions and renovations, improving occupancy rates within the first year of ownership and increasing net operating income by 15–20% through targeted value-add programs and competent and respectful asset management. By focusing exclusively on Southern California multifamily assets built between 1940 and 2000, we have developed a consistent, process-driven acquisition model. Our vertically integrated team of 47 tradesmen keep us two-deep in every critical discipline. From cost control to quality assurance, ensuring projects stay on budget and on schedule is due to over 11 years of successes. There's no doubt that the quality of upgrades put into this property will continue to drive the property's value.

CAPITAL EVENT WATERFALL:



Management Fee Structure

One-time Acquisition Fee:

2% of purchase price - Included in Closing Costs

Monthly Management:

2% annually on Equity Only, paid monthly.

Loan Guarantee:

0.5% of any loan personally guaranteed by the Managing Member or its affiliates

Why This Investment

Strong Applicant Flow

Property is fully occupied. Income properties in prime locations outperform because demand never wavers. High tenant interest pushes rents upward and keeps vacancies low. The Knott Townhouses' central Buena Park address—minutes from major employers, schools, and attractions like Knott's Berry Farm and The Source OC—creates a constant pipeline of quality applicants. This consistent demand delivers stability and mitigates risk far better than properties in less competitive areas.

Ease of Investing

VisionWise Capital handles everything—permits, renovation design and construction, leasing, and long-term resident retention. Our turnkey approach gives you passive ownership of income-producing property and the coveted after-tax returns, without any operational burden..

Investment Protection

A 12% rental income upside, including additional income from parking and Residential Utility Billing, is supported by market data. Similar two-bedroom units rent for \$2,300–\$2,815 and renovated three-bed units reach \$3,200. These benchmarks confirm our rent targets are realistic, providing predictable cash flow and long-term valuation growth. We begin by simply adding efficiencies to billing.

Ample Parking

With 56 spaces for 28 units—and additional spaces available for lease—parking is never a concern. Easy, guaranteed parking enhances daily convenience for professionals and families, adding tangible value to both residents and investors.

Competitive Pricing

Originally listed at \$10.2 million, we are purchasing this asset at \$400,000 off the list price, putting our price per unit at \$350,000 compared to two recent comparable sales at an average of \$444,000 per unit, a 26% discount off an average price per unit in the same submarket as the subject property.

Summary

Strong Applicant Flow: Resilient rental income

Improved Billing System: Tighter billing controls will add 6.02% income

Investment Protection: From reliable, diversified cash flow

Ease of Investing: Hassle-free management for Investors

Ample Parking: Property is overparked creating additional sources of income

Comparative Pricing: We are buying this asset “right”

Property Overview

Summary:

Purchase Price: \$9,800,000

Year Built: 1972

Total units: 28

Rentable Sq. Ft.: 25,484

Lot Size: 1.41 Acres (61,420 Sq. Ft.)

\$/Unit: \$350,000

\$/Sqft: \$384.56

Details:

Prime location

Fully Occupied

Near Downtown Buena Park

20 Two-bedroom Townhome units

8 Three-bedroom Townhome units

Security Entrance

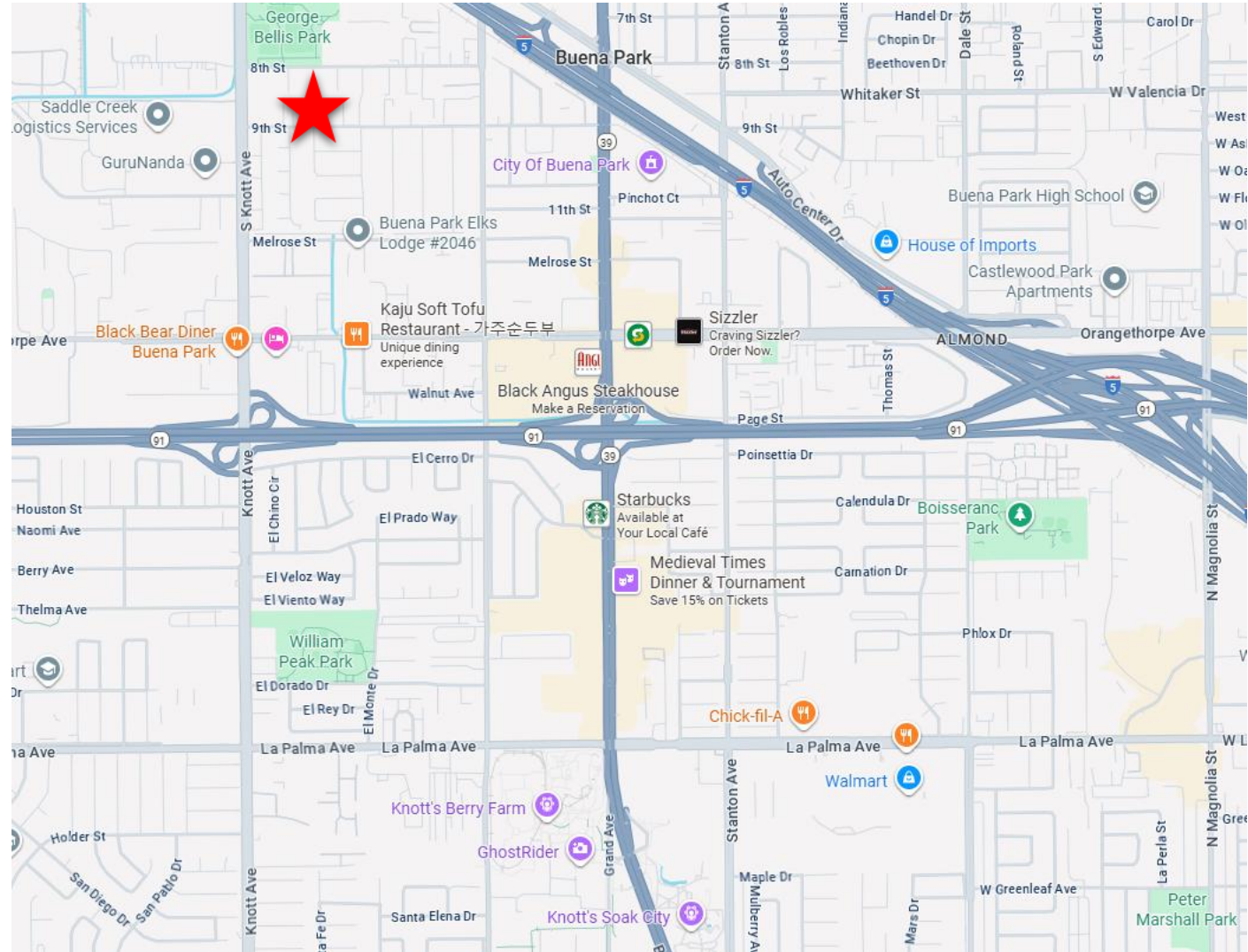
56 Total Parking Spaces. (The extra parking will provide additional rental income).

Covered Courtyard W/ BBQ



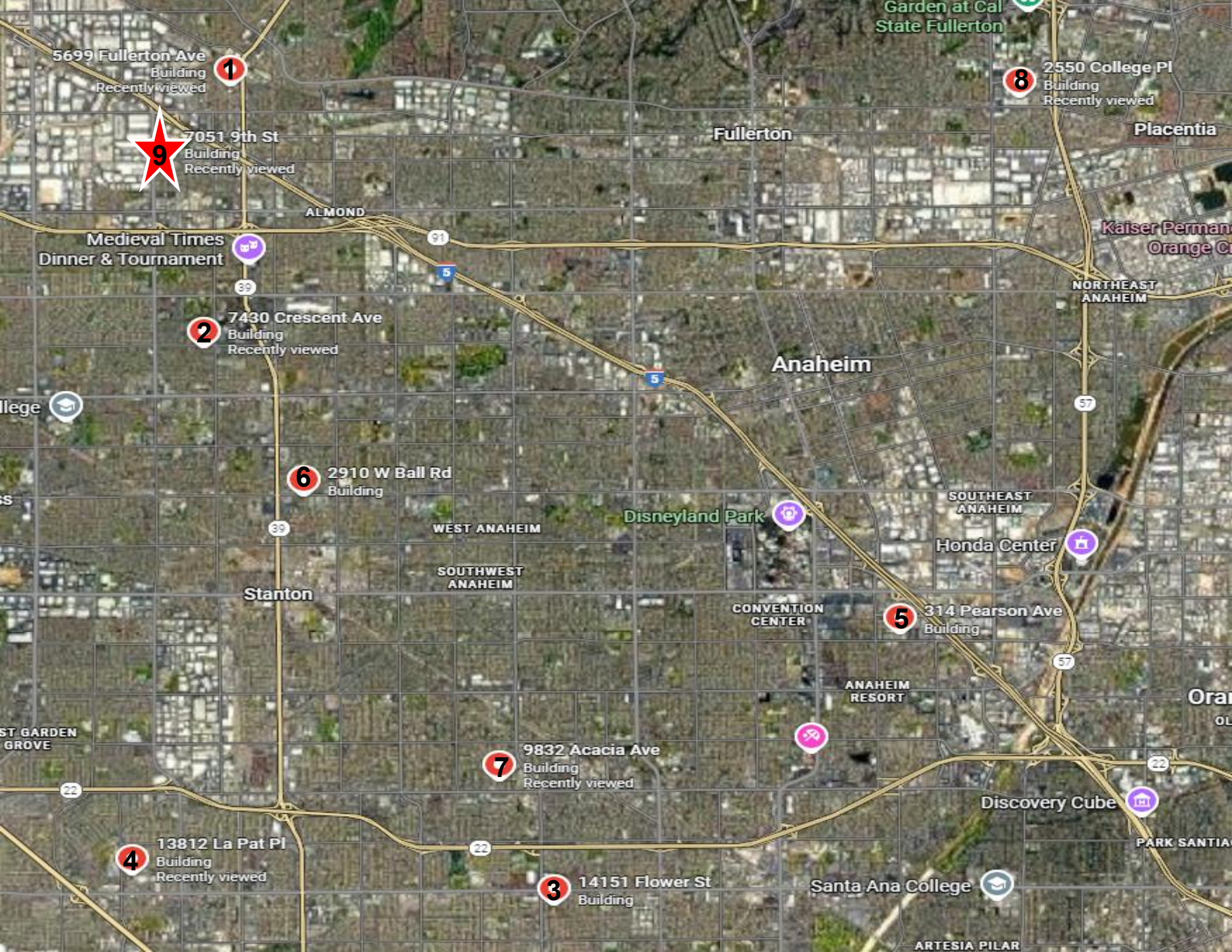
Property Location

Located in the heart of Buena Park, The Knott Townhouses are at the center of it all. Just over a mile from Knott's Berry Farm, Knott's Soak City, and the Buena Park Entertainment Zone. Residents enjoy top dining, shopping, and entertainment options. From the popular Porto's Bakery to unique local restaurants, major retail centers, and vibrant community events, the neighborhood blends the charm of a well-established community with the energy of a thriving entertainment hub. Easy access to the 91 and 5 freeways ensures seamless connectivity to all of Orange County and beyond, making Buena Park an ideal place to live, work, and play.



Sale Comps

Property Address	Property City	Sale Price	# of Units	Size	Sale Status	Price PSF	Price Per Unit	Sale Date
5699 Fullerton Ave.	Buena Park	\$7,250,000	24	14,759.00	Sold	491.23	\$302,083	May 2024
7430 Crescent Ave.	Buena Park	\$10,196,000	28	25,970.00	Sold	392.61	\$364,140	May 2025
14141-14151 Flower St.	Garden Grove	8,200,000	22	32,136.00	Sold	255.17	\$372,727	Jul 2024
13812 La Pat Pl	Westminster	\$10,025,000	30	21,416.00	Sold	\$468.11	\$334,167	Apr 2024
314 E Pearson Ave.	Anaheim Resort	\$5,800,000	20	15,600.00	Sold	\$371.79	\$290,000	Sep 2024
2910 W Ball Rd	South Anaheim	\$10,971,000	34	24,796.00	Sold	\$442.45	\$322,676	Oct-2024
9832 Acacia Ave.	Garden Grove	\$10,000,000	24	24,739.00	Sold	\$416.67	\$416,666	Dec. 2022
2550 College Pl.	Fullerton	\$8,500,000	18	17,296.00	Sold	\$491.00	\$472,222	Dec. 2024
7051 9th St.*	Buena Park	\$9,800,000	28	25,484.00	***	\$384.56	\$350,000	*Subject Property



Current Rent Roll

Immediate Upside:

The Property is being purchased at an unusually high cap rate of over 6%. We believe there is value baked into the offering price. With a slight adjustment to some uncollected sources of "Other Income" and upgrades that would command strong Applicant Flow and upward pressure on rents, the Property will be in line with other properties of its quality, selling for a Market Capitalization Rate in the low 5%. Therein lies the opportunity to buy this asset at a relatively good value.

The most important decision in real estate ownership is to **"Buy Right"**

Type	Size SF	Current Rent	Stabilized Rent *
2 Bed / 1 Bath	875	\$2,500	\$2,700
2 Bed / 1 Bath	875	\$2,400	\$2,700
2 Bed / 1 Bath	875	\$2,400	\$2,700
2 Bed / 1 Bath	875	\$2,375	\$2,700
2 Bed / 1 Bath	875	\$2,400	\$2,700
3 Bed / 1.5 Bath	998	\$3,125	\$3,375
3 Bed / 1.5 Bath	998	\$3,000	\$3,240
2 Bed / 1 Bath	875	\$2,300	\$2,480
2 Bed / 1 Bath	875	\$2,400	\$2,590
2 Bed / 1 Bath	875	\$2,375	\$2,560
2 Bed / 1 Bath	875	\$2,450	\$2,600
3 Bed / 1.5 Bath	998	\$3,200	\$3,450
3 Bed / 1.5 Bath	998	\$3,050	\$3,450
2 Bed / 1 Bath	875	\$2,300	\$2,480
2 Bed / 1 Bath	875	\$2,400	\$2,550
2 Bed / 1 Bath	875	\$2,400	\$2,590
2 Bed / 1 Bath	875	\$2,325	\$2,560
2 Bed / 1 Bath	875	\$2,325	\$2,560
2 Bed / 1 Bath	875	\$2,400	\$2,700
3 Bed / 1.5 Bath	998	\$3,050	\$3,290
3 Bed / 1.5 Bath	998	\$3,200	\$3,450
2 Bed / 1 Bath	875	\$2,300	\$2,480
2 Bed / 1 Bath	875	\$2,400	\$2,590
2 Bed / 1 Bath	875	\$2,400	\$2,670
2 Bed / 1 Bath	875	\$2,475	\$2,650
3 Bed / 1.5 Bath	998	\$3,200	\$3,400
3 Bed / 1.5 Bath	998	\$3,000	\$3,240
2 Bed / 1 Bath	875	<u>\$2,400</u>	<u>\$2,590</u>
		\$72,550	\$79,045

The Math:

*Stabilized Rent includes the passing through of the cost of water and sewer to the residents through the permitted Residential Utility Billing System (RUBS) proportionate to their use of the utility and service, and according to the number of residents in each apartment unit.

This difference in projected monthly income of \$ 7,392 adds an additional \$88,704 in Average Twelve Month Rental Income and growing year-to-year. At a 5.35% Market Capitalization Rate, this suggests \$1.65 million of added value from the increase in rental income alone during the next 12-14 months.

Value Proposition:

Purchase Cap Rate 6.12%
Stabilized Cap Rate 6.80%
Market Cap Rate 5.35%

	CURRENT	STABILIZED
Net Oper Income	\$552,030	\$665,433
Property Valuation	\$9,800,000	\$12,874,283
Price / Unit	\$350,000	\$459,796
Bank Debt:	At Purchase - 65% LTC 18-month Est - 51% LTV*	

* Loan To Value (LTV) estimated based upon
ProForma Market Rents, post renovation.

INCOME	CURRENT	STABILIZED - MARKET
Gross Potential Rent	\$ 870,528	\$ 924,000
Other Income	\$ 15,900	\$ 70,200
Vacancy	\$ (35,457)	\$ (29,826)
Total Revenue	\$ 850,971	\$ 964,374
EXPENSES	CURRENT	STABILIZED - MARKET
Special Assessment	\$ 7,132	\$ 7,132
Taxes	\$ 114,660	\$ 114,660
Insurance	\$ 34,300	\$ 34,300
Utilities	\$ 40,790	\$ 40,790
On-Site Manager	\$ 28,800	\$ 28,800
Management	\$ 48,219	\$ 48,219
R&M	\$ 14,000	\$ 14,000
Misc	\$ 8,200	\$ 8,200
Landscaping	\$ 4,800	\$ 4,800
Total Expenses	\$ 300,901	\$ 300,901
Net Operating Income	\$ 550,070	\$ 663,473
Debt Service	\$ (350,352)	\$ (350,352)
Cash Flow	\$ 199,718	\$ 313,121
Stabilized Cash On Cash %	4.44%	6.96%

Value-Add Strategy: Driving Strong Returns

The property presents a prime opportunity for strategic enhancements that directly increase income, value, and investor returns:

Upgrade the courtyard and BBQ area – creating a vibrant community space that attracts quality tenants

Enhance landscaping – strengthening curb appeal to maximize marketability

Modernize roofs – reducing future capital expenditures and protecting long-term cash flow

These targeted renovations are designed to elevate the property’s market position, increase rents, and drive higher occupancy, thereby delivering measurable, risk-adjusted returns for investors while unlocking the full potential of this location.

Capital Improvements Summary:

ITEM	COST
Interior	\$395,730
Exterior	\$257,000
Contingency	\$32,637
Misc./Reserves	\$89,273
Total	\$774,640
CAPEX/Unit	\$27,667

Projected Returns

Performance Forecast:

Projected Investor Multiple of Cash	1.26x
Projected Rental Income Upside:	12.16%
Projected Duration (Hold Period):	18-24 months
Projected Investor IRR:	12.25%

DEAL LEVEL RETURN

	Year 0	Year 1	Year 2
Unlevered Cash Flow	\$(10,793,050)	\$632,004	\$12,710,906
Debt Contribution	\$6,370,000	-	-
Amortization	-	-	-
Interest	-	\$(350,352)	\$(350,352)
Repayment	-	-	\$(6,370,000)
Total Levered Cash Flow	\$(4,423,050)	\$281,652	\$5,990,554
Cumulative Return	\$(4,423,050)	\$(4,141,398)	\$1,849,156
Deal Level Return			41.8%

LP \$100,000 INVESTMENT

	Year 0 (Purchase Year)	Year 1 (Renovation)	Year 2 (End of Yr) (Projected Exit)
Initial Investment	(\$100,000)		
First-Out Return		\$10,000	
Return of Capital			\$100,000
Est. Investor Profit			\$ 16,481
Est 2 Yr ROI			\$ 126,481

NOI GROWTH

Year	Year 0	Year 1	Year 2
Total Gross Income	\$886,428	\$994,206	\$1,024,032
Vacancy Loss	\$(35,457)	\$(29,826)	\$(40,961)
Effective Gross Income	\$850,971	\$964,380	\$983,071
Estimated OpEx	\$298,941	\$298,941	\$304,920
NOI	\$600,249	\$665,439	\$678,151
NOI Growth Rate	--	10.86%	1.91%
Margin	70.53%	69.00%	68.98%

Visionwise Capital - Placing Commercial Real Estate Within Your Reach

Visionwise Capital is a private real estate investment firm founded in 2013 by Sanford Coggins, CEO. Since its inception, VWC has acquired and improved more than 300 multifamily units and continues to be one of the most active real estate operators in the mid-market multifamily Southern California market.

Disclaimer:

This investment summary is for illustration purposes only. All information, though not guaranteed, is deemed to be true and correct at the time of publishing. Prospective investors should carefully read the Operating Agreement as well as speak to your tax professional before investing. For more details, please contact (949) 441-5580.

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